

Richard,
Here it is. It took me a little while to retrieve it from our system.
Thanks
Gary

-----Original Message-----

From: Seabron Adamson [mailto:seabron.adamson@frontier-economics.com]
Sent: Sunday, April 08, 2001 10:48 AM
To: Alan.Comnes@enron.com; RCARROLL@bracepatt.com;
Richard.B.Sanders@enron.com; Susan.J.Mara@enron.com; Fergus, Gary S.
Subject: Your edits

Alan:

cc: Ron, Richard, Gary and Sue

I am OK with most of these, and will incorporate them ASAP.

On the deleted paras (26-30). My intention was to respond to the assertion by Sheffrin that large numbers of bids near the MCP was indicative of market power, combined with large number of bids at much higher prices at higher MW levels (e.g. bid \$150/MWh at 200 MW but \$300/MWh at 250 MW). The first point I could easily summarize more succinctly, the second I think takes more effort.

Of course, the fact that large numbers of bids around the MCP were submitted by importers merely suggests in reality that people are pretty smart, and new that prices in neighboring markets (e.g. in the NW) would settle at similar levels. For those of you with an legal anti-trust background, it merely confirms why the entire analysis is shaky - the fundamental market definition is wrong (market definition being one of the key elements of anti-trust economics and law). As even the MSC has agreed, the California market is not a market on its own, but instead is well-integrated with the rest of the West. So it is very difficult to look at half a market and come up with sensible conclusions...

I can try to cut this down, or we can eliminate it altogether. I think it does help address one of the accusations raised by Sheffrin, but I leave it to you legal eagles to let me know whether responding to the issue is worth the tradeoff in terms of the length of the affidavit. Suggestions welcome...

Seabron

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Seabron Adamson
Frontier Economics Inc
Two Brattle Square
Cambridge, MA 02138 USA
Ph: (617) 354-0060
Fax: (617) 354-0640
seabron.adamson@frontier-economics.com

www.frontier-economics.com

-----Original Message-----

From: Alan.Comnes@enron.com [mailto:Alan.Comnes@enron.com]
Sent: Friday, April 06, 2001 6:59 PM
To: Seabron Adamson; RCARROLL@bracepatt.com;
Richard.B.Sanders@enron.com; Susan.J.Mara@enron.com;
Ray.Alvarez@enron.com; gfergus@brobeck.com
Cc: James.D.Steffes@enron.com
Subject: Answer to CAISO's March 22 Answer Claiming Market Power and
StrategicBidding
Importance: High

All: We are targeting to file this on Monday, 9 April.

Ron:

I am forwarding to you two files:

The first is a draft of EPMI's answer. I hope I have made your job easier by providing you with a first draft.. I expect that you'll do your usual magic turning it into a legal pleading.

The second is Seabron's affidavit, including my comments. . Seabron needs to live by the suggested edits, of course, so he get's veto rights over the weekend.

Gary, Richard S.:

Please review w.r.t. litigation compatibility.

Seabron,

Please start with my version and let me know any major issues you have with my suggested edits.

Tim, Sue, Ray: Please review. Tim, make sure you look at paragraphs 26-30.

GAC

(See attached file: 01-04-06 SA Second draft GAC.doc)(See attached file: Answer to ISO Reply 040406.doc)

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